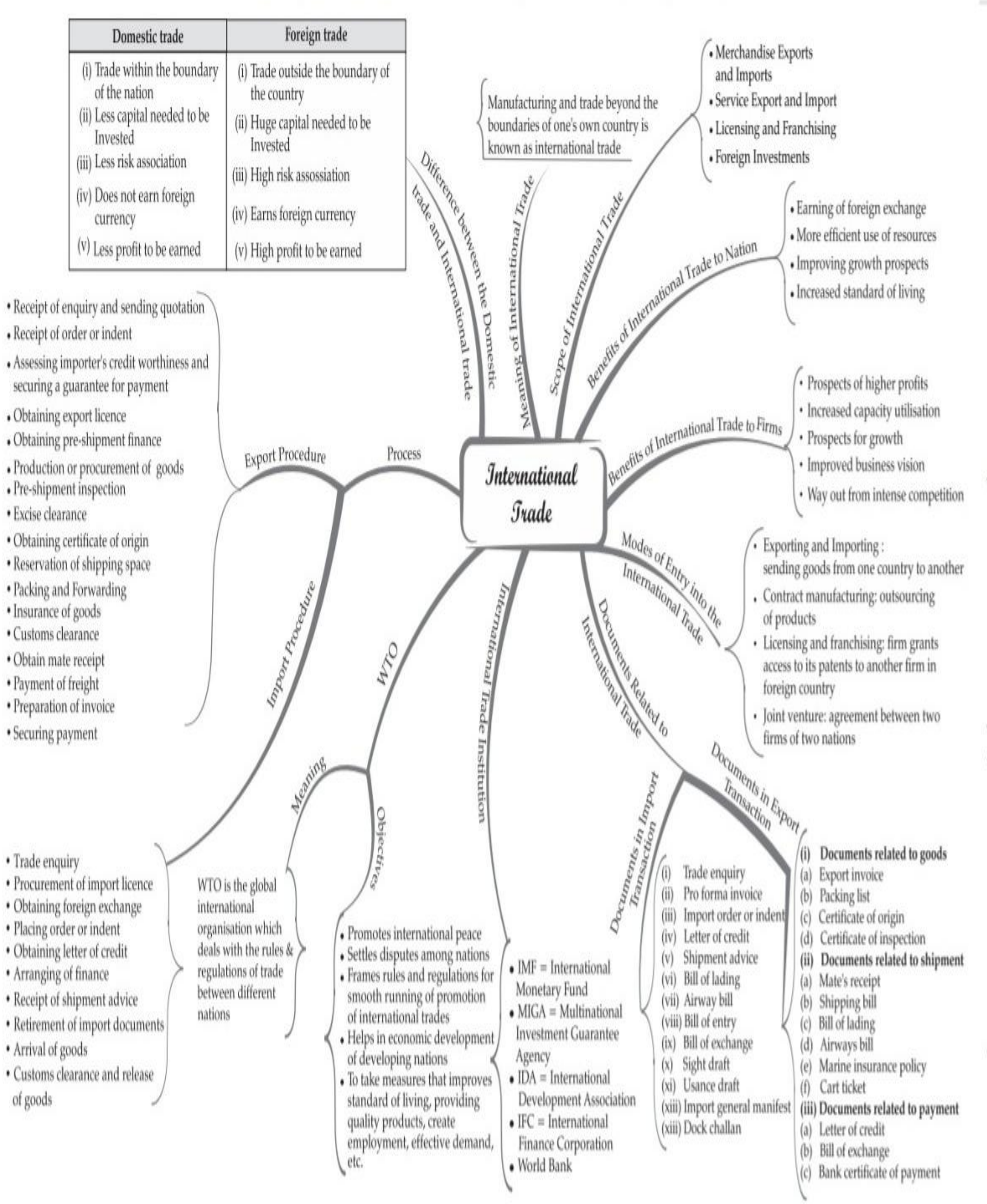
CH - 10: INTERNATIONAL BUSINESS

(MIND MAP)

Domestic trade	Foreign trade
(i) Trade within the boundary of the nation	(i) Trade outside the boundary of the country
(ii) Less capital needed to be Invested	(ii) Huge capital needed to be Invested
(iii) Less risk association	(iii) High risk assossiation
(iv) Does not earn foreign currency	(iv) Earns foreign currency
(v) Less profit to be earned	(v) High profit to be earned



LEARNING OBJECTIVES:

- *Concept of International Trade.*
- *Benefits of International Trade.*
- *Meaning & Objectives of Export Trade.*
- *Process of Export Trade.*
- *Meaning & Objectives of Import Trade.*
- *Process of Import Trade.*
- *Meaning, Importance & Specimen of Documents used in International Trade.*
- *Meaning & Objectives of WTO.*

International Business:

Manufacturing and trade beyond the boundaries of one's own country is known as international business. International or external business can, therefore, be defined as those business activities that take place across the national frontiers. It involves not only the international movements of goods and services, but also of capital, personnel, technology and intellectual property like patents, trademarks, know-how and copyrights.

Reason for International Business

1. Countries cannot produce equally well or cheaply all that they need. This is because of the unequal distribution of natural resources among them or differences in their productivity levels.

2. Labour productivity and production costs differ among nations due to various socio-economic, geographical and political reasons.

3. Principle of territorial division of labour is applicable at the international level too. Most developing countries which are labour abundant, for instance, specialise in producing and exporting garments.

4. Firms to engage in international business to import what is available at lower prices in other countries, and export goods to other countries where they can fetch better prices for their products

Problems of International business:

There are various complexities or problems involved in the international business. The major problems faced are as follows:

1. Different currencies:

Every country has its own currency. So importer has to make payment in the currency of exporter's country.

2. Legal Formalities:

International business is subject to a large number of legal formalities and restrictions. The government of every country exercises strict control over business with other nations.

3. Distance Barriers:

Due to large distance between countries, it is difficult to establish quick and personal contacts between traders from different countries.

4. Language Barrier:

Due to different languages in different countries, it becomes difficult for traders to understand the terms and conditions of the contract.

5. Difference in Laws:

International business transactions are subject to laws, rules and regulations of multiple countries.

6. Information Gap:

It is difficult to obtain accurate information about foreign markets and about the financial position of foreign merchants.

7. Transport Problem:

Water and air transport are the important modes of transport used in international business. Shipping is less costly but time consuming. On the other hand airways are faster but the cost involved is very high.

Difference between International business vs. Domestic business

Basis	International Business	Domestic Business
1. Nationality of buyers & Sellers	Buyers & sellers come from different countries.	Buyers & sellers are from the same country.
2. Nationality of other stakeholders	Belong from various countries & hence have wider set of values and aspirations.	Belong to one country & hence consistency in their value system and behaviour.
3. Mobility of factors of production.	Mobility with various restrictions.	Free mobility.
4. Customer heterogeneity across markets	Difference in taste and preference complicate the task of designing product in international market.	Difference in taste and preference does not complicate the task of designing product in domestic market.
5. Differences in business systems & practices	The differences in business systems and practices are considerably much more among different countries.	The differences in business systems and practices are considerably less within a country.
6. Political system & risk	Political environment differs from one country to another. Special efforts are needed.	Predict the impact of political environment on business operations.
7. Business regulations & policies	Business laws, regulations and economic policies differ among different countries.	Business laws, regulations, economic policies are less uniformly applicable within a country.
8. Currency used in Business transactions	The price of one currency expressed in relation to that of another country's currency, keeps on fluctuating.	No such problem is faced as only home currency is used.

Benefits of International Business:-

Benefits to Nations:-

(a) International business helps a country to earn foreign exchange which it can later use for meeting its imports of other goods.

(b) Produce what your country can produce more efficiently, and trade the surplus production so generated with other countries to procure what they can produce more efficiently.

(c) Exporting and flourishing in International trade helped in improving their growth prospects and created opportunities for employment of people.

(d) Due to International business people in world community are able to consume and enjoy a higher standard of living.

Benefits to Firms:-

(a) When the domestic prices are lower, business firms can earn more profits by selling their products in countries where prices are high.

(b) Making use of surplus production capacities & thereby improving the profitability of operations.

(c) When demand in home country gets saturated, the company can think of growth prospects in developing countries.

(d) When competition in the domestic market is very intense, internationalization seems to be the only way to achieve significant growth.

(e) The vision to become international comes from the urge to grow, the need to become more competitive, the need to diversify and to gain strategic advantages of internationalization.

Mode of Entry into International Business:-

Exporting and Importing:-

Exporting refers to selling of goods and services from the home country to a foreign country while importing refers to purchase of foreign products and bringing them into one's home country.

Export Procedure:-

1. An exporter receives an enquiry from the prospective buyers seeking information regarding price, quality & other terms conditions for export of goods. The exporter sends a quotation known as Proforma invoice as reply.

2. If the buyer is satisfied with the export price & other terms & conditions, he places the order or indent for the goods.

3. After receiving the order or indent, the exporter undertakes an enquiry regarding the credit worthiness of importer to assess the risk of non-payment by the importer.

4. According to custom laws the exporter or the export firm must have export license before proceeding with exports. The following procedure is followed for obtaining the export license. To open a bank account in any authorized bank.

- To obtain import export code (IEC) number from Directorate General foreign Trade (DGFT) or Regional Import Export Licensing Authority (RIELA).
- Register with appropriate export promotion council.
- To get registered with Export Credit and Guarantee Corporation (ECGC) in order to safeguard against risk of non-payments.

5. After obtaining the export license the exporter approaches his banker in order to obtain pre-shipment finance for carrying out production.

6. Exporter, after obtaining the pre-shipment finance from the bank, proceeds to get the goods ready as per the orders of the importer.

7. Government of India ensures that only good quality products are exported from India. The exporter has to submit the pre-shipment inspection report along with other documents at the time of export.

8. According to Central Excise Tariff Act, excise duty on the material used in manufacturing goods is to be paid. For this purpose exporter has to apply to the concerned Excise Commissioner in the region with an invoice.

9. In order to obtain Tariff concessions or other exemptions the importer may ask the exporter to send certificate of origin.

10. The exporter applies to the shipping company for provision of shipping space. He has to provide complete information regarding the goods to be exported, probable date of shipment and port of destination. The shipping company issues a shipping order. Which is an instruction to the captain of the ship, after accepting application for shipping.

11. The goods are packed & marked with necessary details like name & address of the importer, gross & net weight, port of shipment & destination etc. After this the exporter makes arrangement for the transportation of goods to the port.

12. In order to protect the goods against the risk of loss or damage due to the perils of the sea transit the exporter gets the goods insured with an insurance company.

13. Before loading the goods on the ship they have to be cleared by the customer. For this purpose the exporter prepares the shipping bill & submits five copies of the shipping bill along with following documents to the Customs.
Appraiser at the customs house:

(i) Certificate of Origin
(ii) Commercial Invoice
(iii) Export Order
(iv) Letter of credit
(v) Certificate of Inspection, where necessary.
(vi) Marine Insurance Policy.

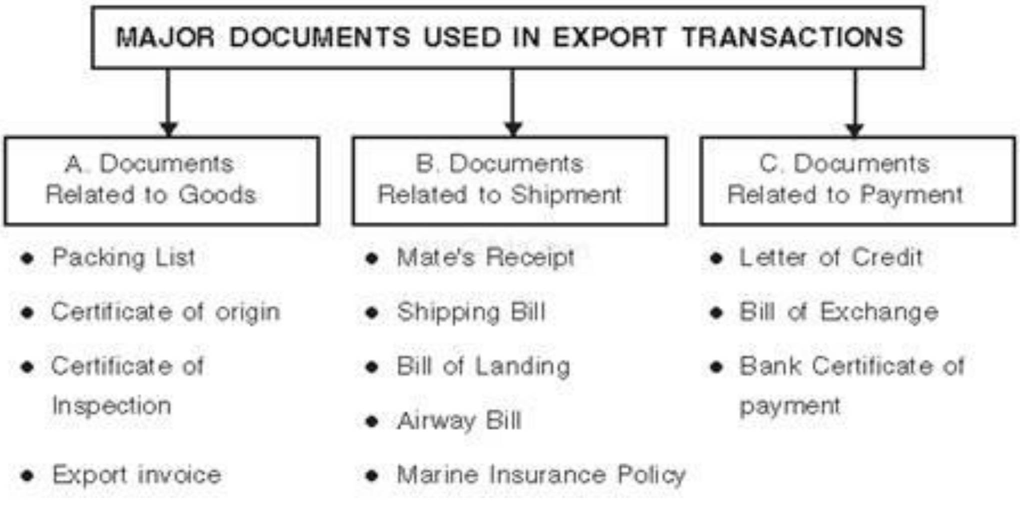
On submitting the above documents, the super intended of the concerned port trust is approached for obtaining the carting order which is the instruction to the staff at the gate of the port to permit the entry of cargo inside the dock.

14. After the goods have been loaded on board of the ship the captain or the mate of the ship issues mate's receipt to the port superintendent which contains information regarding vessel, berth, description of packages, date of shipments, marks, condition of the cargo at the time of receipt on board the ship etc.

15. The clearing & forwarding agent (C&F agent) hands over the mates receipt to the shipping company for calculating freight. On receiving the freight the shipping company issues a bill of lading.

16. The exporter prepares an invoice for the dispatched goods. Invoice contains information regarding the quantity of goods sent & the amount to be paid by the importer. It is duly attested by the customs.

17. After shipment of goods the importer is informed about it by the exporter. Various documents like certified copy of invoice, bill of lading packing list. Insurance policy, certificate of origin & letter of credit are sent by the exporter through his bank. These documents are required by the importer for getting the goods cleared from customs.



Documents Used in Export Transactions:-

A. Documents related to goods:

1. Export Invoice: It is a seller's bill information about goods like quantity, number of packages, marks on packing, name of ship, port of destination, terms of delivery payments etc.

2. Certificate of Inspection: For ensuring quality the government has made inspection of certain goods compulsory by some authorised agency like export Inspection council of India (EICI) etc. After inspecting the goods, the agency issues a certificate of inspection that the consignment has been inspected as required under the export (Quality Control & Inspection) Act, 1963.

3. Packing List: This document is in the form of a statement regarding the number of cases or packs & the details of the goods contained in these packs. It provides complete details regarding the goods exported & the form in which they are being sent.

4. Certificate of Origin: This certificate specifies the country in which the goods are being manufactured. This certificate enables the importer to claim tariff concessions or other exemptions. This certificate is also required in case when there is a ban on imports of some goods from certain countries.

B. Documents Related to Shipment:

1. Shipping Bill: It is the main document on the basis of which permission is granted for the export of goods by the custom office. It contains full details regarding the goods being exported name of the vessel, exporters name & address, country of final destination etc.

2. Mate's Receipt: This receipt is issued by the captain or mate of the ship to the exporter after the goods are loaded on board of the ship. It contains name of the vessel, description of packages, marks, conditions of the cargo at the time of receipt onboard the ship etc.

3. Bill of lading: It is a document issued by the shipping company. It acts as an evidence regarding the acceptance of shipping company to carry the goods to the port of destination. It is also referred to as document of title to the goods & is freely transferable by endorsement & delivery.

4. **Airway Bill**: Similar to a shipping bill, an airway bill is a document issued by the airline company on receiving the goods on board, its aircraft and at the same time giving its acceptance to carry them to the port of destination.

5. Marine Insurance Policy: It is a document containing contract between the exporter & the Insurance Company to indemnify the insured against the loss incurred by the insured in respect of goods exposed to the perils of the sea transit in consideration of a payment called Premium.

C. Document related to payment:-

1. Letter to credit: It is a guarantee letter issued by the importer bank stating that it will honour the export bills to the bank of the exporter up to a certain amount.

2. **Bill of Exchange**: In export & import transaction, exporter draws the bill on the importer asking him to pay a specified amount to a certain person or the bearer of the instrument. The documents required by the importer for claiming title of exported goods are passed on to him only when the importer accepts this bill.

3. Bank Certificate of Payment: It is a certificate that the necessary documents relating to the particular export consignment have been negotiated & payment has been received in accordance with the exchange control regulations.

<u>Import Procedure</u>:-

1. The first step involved in importing goods is to gather information about the countries & firms which export the product required by the exporter. It can be gathered from trade directories, trade associations & organizations. The exporter prepares a quotation also known as Performa Invoice & sends it to the importer.

2. The Importer Consults the export import (EXIM) Policy in force, in order to know whether the goods that he/she wants to import are subjected to import licensing or not. If License is required then it is to be obtained.

3. In case of an import transaction, the supplier resides in a foreign country hence he demands payment in foreign currency. This involves exchange of Indian Currency into foreign currency. The Exchange Control Department of the Reserve Bank of India (RBI) regulates foreign exchange transactions in India. As per rules, every importer has to secure the sanction of foreign exchange.

4. The importer places an import order or indent with the exporter for the supply of specified goods. The order contains information regarding price, quality, quantity, size & grade of goods instruction regarding packing, delivery shipping, mode of payment etc.

5. When the payment terms are agreed between the importer & the overseas supplier, the importer obtains the letter of credit from its banker & forward sit to the overseas supplier.

6. The importer arranges for the funds in advance to pay the exporter on arrival of goods at the port this enables the importer to avoid huge penalties on the imported goods lying uncleared at the port for want of payments.

7. The overseas supplier after loading the goods on the ship dispatches the Shipment Advice to the importer. It provides information regarding, shipment of goods like invoice number, bill of lading/ airway bill, name of ship with date description of goods & quantity etc.

8. After shipping the goods, the overseas supplier hands over the various documents like commercial invoice, bill of lading, insurance policy certificate of origin to his banker for their onward transmission to the importer when he accepts the bill of exchange drawn by the supplier. The acceptance of bill of exchange by the importer for the purpose of getting delivery of the document is known as retirement of import documents.

9. When the goods arrive in the importer's country, the person in charge of the carried informs the officer in charge at the dock or the airport about it. The person in charge of the ship or airway provides the document called import general manifest for unloading of cargo.

10. Imported goods are subjected to customs clearance which is a very lengthy process & involves a lot of formalities. The importer usually appoints a C&F agent for fulfilling these formalities. First of all, the importer obtains a delivery order which is also known as endorsement for delivery. This order enables the importer to take the delivery of goods after paying the freight charges. Besides freight charges, importer also has to pay dock dues for obtaining port trust dues receipts for which he submits two copies of a duly filled in form know as application to import to the Landing & Shipping Dues Office. After paying dock dues the importer get back one copy of applications a receipt which is referred as port trust dues receipts. Finally, the importer fills in a form known as bill of entry for assessment of customs import duty. An examiner examines the imported goods & gives his report on the bill of entry. This bill is then presented to the port authority which on receiving necessary charges, issues the release order.

Documents used in an Import Transaction:-

1. Performa Invoice: A pro forma invoice is a document that contains details as to the quality, grade, design, size, weight & price of the export product & the terms & conditions on which their export will take place.

2. Import order or Indent: It is a document in which the importer orders for supply of requisite goods to the supplier. The order containing the information such as quantity & quality of goods, price, method of forwarding the goods, nature of packing, mode of payment etc.

3. Shipment advice: The exporter sends shipment advice to the importer for informing him that the shipment of goods has been made. It contains invoice number bill of lading/ airways bill number & date, name of the vessel with date, the port of export, description of goods & quantity & the date of sailing of the vessel.

4. **Bill of Lading:** It is prepared & signed by the master of the ship acknowledging the receipt of goods on board, it contains terms & conditions on which the goods are to be taken to the port of destination.

5. Bill of entry: It is a form supplied by the customs office to the importer who filled it at the time of receiving the goods. It has to be in triplicate & is to be submitted to the customs office. It contains information such as name & address of the importer, name of the ship, number of packages, of marks on the packages, description of goods, quantity and value of goods, name and address of the exporter, port of destination and custom duty payable.

6. Letter of Credit: It is a document that contains a guarantee from the importer's bank to the exporter's bank that it is undertaking to honour the payment up to a certain amount of the bills issued by the exporter for export of the goods to the importer.

7. Bills of exchange: Explained earlier.

Foreign Trade Promotion Measures & Schemes:

1. Duty Drawback Scheme: Goods meant for exports are not subjected to payment of various excise and custom duties. Any such duties paid are refunded to exporters on production of proof of exports of these goods to the concerned authorities such refunds are called duty drawback.

2. Export manufacturing under BOND Scheme: Under this facility firm can produce goods without payment of exercise and other duties. The firm can avail this facility after giving an undertaking (i.e. bond) that they are manufacturing goods for export purposes.

3. Exemption from payment of sales Taxes: Goods meant for export purpose are not subject to sales tax. Income derived from export operations had been exempt from payment of income tax for a long period, but now this exemption in only available to 100%. Export oriented units and unit's setup in Export Processing Zones/ Special Economic Zones for selected years.

4. Advance License Scheme: It is a scheme under which an exporter is allowed duty free required for the manufacture of export goods. The firms exporting intermittently can also obtain these licenses against specific export orders.

5. Export Processing Zones: They are industrial estate which from enclaves from the Domestic Tariff Areas. These are usually situated near seaports or airports. They are intended to provide an internationally competitive duty free environment for export production at low cost.
In addition to the above there are other measures such as availability of export finance, Export promotion, Capital goods scheme etc. that are used for foreign trade promotion.

Important Terms Used in External Trade:

1. Free on Board (FOB):- Freight is paid by importer and he only bears all the risk.

2. Cost and Freight (C&F):- Under this, freight is paid by the exporter and he bears the risk till goods reach the importer's country.

3. Cost, Insurance and Freight (CI&F):- Under this policy, the exporter bears freight charges and cost along with marine insurance policy.

International Trade Institution (WTO):-

World Trade Organization (WTO)

It came into existence on 1st January 1995. The headquarters of WTO is situated at Geneva, Switzerland. It is a permanent organization created by an international treaty rectified by the Governments and legislatures of member states. It is concerned with solving trade problems between countries and providing a forum for multilateral trade negotiations.

Objectives of WTO:

1. To reduce the trade tariffs and barriers imported by different countries in the smooth flow of international trade.

2. To improve the standard of living, create employment, increase income and effective demand and

facilitate higher production and trade.
3. To maintain sustainable development by optionally using world's resources.
4. To promote an integrated, more viable and durable trading system among nations.

Role/ Functions of WTO:
1. To remove barriers of International trade.
2. To Act as a dispute settlement body by settling trade related disputes among member nations.
3. To ensure that all the rules and regulations prescribed in the Act are duly followed by the member countries for settling of their disputes.
4. Laying down a commonly accepted code of conduct for international trade aiming at reducing tariff and non-tariff barriers in international trade.
5. To consult other agencies to bring better understanding cooperation in global economic policy making.
6. Providing technical assistance and guidance related to management of foreign trade and fiscal policy to its member nations.
7. Taking special steps for the development of the poorest nations.
8. Reviewing trade related economic policies of member countries with the help of its Trade Policy Review Body.
9. Co-operating with IMF and World Bank and its associates for establishing co-ordination in global trade policy making.
10. Acting as forum for trade liberalization.

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➢ ***SELF ASSESSMENT:***

1. On the basis of this document, imported goods are unloaded from the carrier. Write the name of the document.
2. This certificate specifies the origin of goods exported. Name the document.
3. On the basis of this document, customs office grants permission for the export. Identify the document.
4. This document is the most appropriate and secure method of payment to settle international transactions. Name the document.
5. What is meant by Bill of Lading? Explain the contents. Of it.
6. Describe the role of WTO.
7. What is meant by pre shipment finance?
8. List the major countries with whom India trades.
9. Trendz industries have received an export order of 5,000 kids jeans from Walmartstore, USA. What procedure you will follow to execute this export order?
10. Explain the meaning of the following documents used in connection with import transactions: (i) Trade Enquiry (ii) Import License (iii) Shipment advice.

---END OF CHAPTER---